

See discussions, stats, and author profiles for this publication at: <https://www.researchgate.net/publication/353394024>

Problematizing the “informal sector”: 50 years of critique, clarification, qualification, and more critique

Article in *Sociology Compass* · July 2021

DOI: 10.1111/soc4.12914

CITATIONS

22

READS

560

1 author:



Manuel Rosaldo

Pennsylvania State University

8 PUBLICATIONS 97 CITATIONS

SEE PROFILE

Problematizing the “informal sector”: 50 years of critique, clarification, qualification, and more critique

Manuel Rosaldo 

The School of Labor and Employment Relations, The Pennsylvania State University, University Park, Pennsylvania, USA

Correspondence

Manuel Rosaldo, The School of Labor and Employment Relations, The Pennsylvania State University, 506 Keller Building, University Park, PA 16802, USA.

Email: mxr1225@psu.edu

Abstract

Since its coining in 1971, the concept of the “informal sector” has been used to draw scholarly, political, and philanthropic attention to hundreds of millions of workers who lack basic labor protections. But as the term proliferated, so too did its detractors. Critics claim that the label of “informal” homogenizes the world's poor and distorts understandings of the sources of and solutions to their economic woes. What are the origins of the concept's contradictory nature? What strategies have scholars used to increase the likelihood that it will be used to illuminate and uplift, rather than to distort and denigrate? This article analyzes how scholars have resignified and retheorized the informal economy in response to five conceptual challenges: stigmatization, definitional fuzziness, homogenization, an either/or fallacy, and the presumption of “formalization” as the solution. Such efforts have preserved the concept's analytic potency and political relevance. In the longer term, however, a true testament to the concept's value would be if it outlives its own utility; that is, if it mobilizes enough recognition and resources to the invisibilized majority of the world's workers that scholars and state bureaucrats no longer feel the need to lump them together under a misleading catchall label.

KEYWORDS

formalization, informal economy, informal sector, informal work, informal worker organizing, international labour organization

1 | INTRODUCTION

"How many papers have we read which begin by announcing the extreme difficulty of defining the informal sector, identify the various attributes of economic activity which are brought into the conceptualization, show that these are unlikely to coincide so as to define a clear set of entities, and then go on into passionate discussion of what "it" - that "it" just proven not to exist - really is? Let us not do that again here." (Peattie, 1987, p. 851).

In 1987, anthropologist Lisa Peattie attempted to strike a death blow to the much debated concept of the 'informal sector.' The term had been coined 16 years earlier by another anthropologist, Hart ([1971] 1973), to describe economic activities that lacked bureaucratic sophistication in a study of rural-to-urban migrants in Ghana. Development scholars and practitioners quickly championed the term (e.g. ILO, 1972; Mazumdar, 1976), which offered a language to rethink the overlooked role of economic activities of the urban poor in the Global South. But as the concept proliferated, so too did its detractors. Critics claimed that the term was difficult to define and measure, lumped together heterogeneous activities, presented a false binary between the formal and informal sectors, and speciously implied the superiority of the former (Bremman, 1976; Bromley, 1978; Gerry, 1974; Moser, 1984; Peattie, 1980). Peattie argued that such criticism had fallen into a predictable pattern: first scholars dissected the concept's many flaws, then they proposed a new definition, which inevitably reproduced many of the same flaws, leading to further criticism. Lather, rinse, repeat. She thus called on scholars to abandon attempts to reform the hopelessly fuzzy concept and shift focus to comparative studies of specific economic institutions and policies. Peattie (1987) concluded that "we might, in this way, bypass these discussions of the 'informal sector' and get on to something more interesting" (p. 858).

Since the time of Peattie's writing, however, the polemic concept's popularity has only grown. The term has been appropriated by scholars from across the political spectrum, and now constitutes a core concept in fields ranging from development economics and labor studies to women's studies and critical geography. Meanwhile, a lateral field focused on informal housing has emerged within urban studies. While the bulk of this research continues to focus on the Global South, scholars increasingly analyze the informalization of labor markets in the Global North through processes of deregulation, subcontracting, outsourcing, and gigification (e.g., Chen, 2009; Mukhija & Loukaitou-Sideris, 2014). As Table A1 shows, Google Scholar citations for "informal sector" have mushroomed from a few hundred per year in the mid-1980s to over 15,000 per year today. A broader Google search for the keyword "informal sector" yields over 5 million hits, reflecting the term's influence both within and beyond the academy. Since the 1980s, transnational governance bodies, foundations, NGOs, and development agencies have invested heavily in informal worker organizing, research, and policy, helping spur an upsurge of labor rights mobilizations among "the world's most vulnerable workers" (Agarwala, 2013, p. 5). Long dismissed as too weak and fragmented to collectively organize, millions of domestic workers, street vendors, waste pickers, and other informal workers have built robust organizations and won labor rights policies on the local, national, and transnational levels (Hummel, 2017).

The popularity of the concept of informality poses a dilemma for scholars concerned with promoting decent working and living conditions. On the one hand, the concept has been mobilized to elevate the visibility and standing of the working poor—especially women in the Global South—within the fields of academia, public policy, philanthropy, journalism, and labor rights organizing. This has deepened scholarly understandings of low-income workers and at times facilitated improvements to their incomes, conditions, and political voice. On the other hand, critics have long contended that the label of "informality" homogenizes the world's poor and distorts understandings of the sources of and solutions to their economic woes. More recently, scholars have argued that the concept defines the poor in terms of what they lacked relative to an implicit middle class ideal (Hart, 2006), perpetuates a trope of the poor as an amorphous mass (Millar, 2018), and naturalizes and deifies the gaze of the state (Pratt, 2019; Steenberg, 2016).

This article asks, what are the origins of the concept's contradictory nature? What strategies have scholars used over the past 50 years to increase the likelihood that it will be used to illuminate and uplift, rather than to distort and denigrate? I argue that scholars introduced the concept of informality to challenge Modernization Theory's problematic assumption of the primitive and unproductive nature of self-organized, unregistered enterprises. But they preserved another problematic assumption—the existence of a dual economy. I then analyze how this dualistic structure gave rise to five analytic challenges: stigmatization, definitional fuzziness, homogenization, an either/or fallacy, and the presumption of “formalization” as the solution. In response, scholars have resignified and retheorized informality time and time again over the past 50 years. Such efforts significantly improved the concept, but also generated confusion as its etymology, definition, and common usage increasingly diverge.

2 | CHALLENGE #1: DESTIGMATIZING INFORMALITY

Scholars from across the political spectrum have long dismissed low income, self-organized work as backward and marginal, while upholding waged industrial employment as modern and productive. For example, writing at the dawn of industrial capitalism in the 1850s, Marx ([1852] 1977) categorized rag pickers, organ grinders, knife grinders, tinkers, and porters as part of the “lumpenproletariat”—a depraved throng of outcasts and criminals, who lacked the strength and solidarity to organize as a class. A century later, the rightwing Modernization Theorists of the 1950s and 1960s labeled small scale, unregistered enterprises in developing countries as the “traditional sector” (Lewis, 1954). This term reflected both a stereotype of developing societies as primitive and stagnant, and an optimism that they would soon be absorbed into vibrant, modern economies. By the mid-1960s, however, such optimism faded in the face of pervasive and growing unemployment—at least, in registered jobs.

Against this backdrop, Hart ([1971] 1973) conducted a study of urban migrants in Ghana. Hart found that small-scale, unregistered jobs were an enduring part of the modern economic landscape, leading him to replace the term “traditional sector” with “informal sector.” Development economists at the International Labour Organization (ILO, 1972) quickly embraced Hart's concept, authoring a 600-page report on the role of the informal sector in Kenya before Hart even had a chance to publish his own findings. The Kenya Report's authors found that the informal sector was not only expanding, but was for the most part “economically efficient and profit-making” (ILO, 1972, p. 5). They thus argued that rather than imitating Western models of development, Kenya should cultivate and nourish entrepreneurial talents among its own impoverished masses.

The Kenya Report's authors sought to correct “the bias against the low-incomes sector inherent in the traditional-modern dichotomy” (ILO, 1972, p. 503), but critical geographers and planners would soon accuse them of unwittingly reproducing it (Bromley, 1978; Peattie, 1980, 1987). Although the new concept challenged Modernizationist assumptions of the transitory and marginal nature of the so-called “traditional sector,” it preserved an even more fundamental assumption: the existence of a dual economy. This assumption contributes to all five analytic challenges discussed in this article, but most insidiously to the stigmatization of informal workers. Scholars of third wave feminism, critical race theory, and post-colonialism have warned that binary oppositions often embody “value-laden and ethnocentric” invidious distinctions, which serve to legitimize and perpetuate power hierarchies (Goody & Goody 1977, p. 88). This is particularly true for binaries like in/formal with negative definitions, in which the less powerful side is classified as the absence, opposite, and abnormal form of the more powerful side. Although informal workers constitute the majority of the world's workforce, politically, they serve as an “other” that produces the “norm” of formality (Pratt, 2019).

Binary oppositions are often associated with latent “secondary binaries,” which imbue meaning on the primary binary (Fourie, 2001). In my observations, secondary binaries of informality include demographic traits: middle class/poor, Global North/Global South, male/female, white/black or brown. Development scholars and practitioners

more often label members of the former groups as “formal” and latter groups as “informal,” even when they don’t conform to the terms’ technical definitions. Secondary binaries of informality—especially in popular usage—also contain value judgments: orderly/disorderly, legal/illegal, clean/unclean, productive/unproductive. Indeed, ugly stereotypes are woven into the term’s very etymology. The prefix “in” means without and often connotes deficiency (e.g., inadequate, incompetent, inept, invalid). “Informal” thus suggests the absence of form or structure, evoking a trope of the poor—especially poor black and brown people in the Global South—as an amorphous, disorderly mass. In my own field research in Colombia and Brazil, respondents from a range of class positions told me that the term conjures images of immiseration, marginality, and criminality.

To be sure, like the authors of the Kenya Report, most subsequent scholars of informality have pushed back against such stereotypes. Drawing on a range of ideological and disciplinary orientations, they have highlighted informal workers’ social and economic contributions. Development economists have created sophisticated tools to measure the scope and impact of informal work and enterprises (e.g., ILO, 2018). Neoliberal economists have sought to recast informal workers as heroic entrepreneurs who demonstrate free market capitalism’s potential to solve problems of underdevelopment (De Soto, 1989). Structuralist sociologists, in contrast, have emphasized both informal workers’ location the bottom of capitalist webs of exploitation (Portes et al., 1989), and their capacity to contest such exploitation through collective organizing (Rosaldo, 2016). Defying classical Marxist accounts of their political impotence, millions of informal workers have mobilized to increase their economic leverage and political power over the past 40 years (Chen & Carré, 2020). Scholars in disciplines ranging from the social sciences to engineering, planning, and management now collaborate with informal worker organizations in designing research aimed to elevate workers’ voice and power. Since its founding in 1997, the action-research-policy network Women in Informal Employment: Globalizing and Organizing (WIEGO) has spearheaded this trend at a global level. Thanks in part to such collaboration, many organized workers now embrace the term “informal” as a positive class identity (Agarwala, 2013). But destigmatizing informality across society at large remains an uphill battle given the term’s historical and etymological baggage.

3 | CHALLENGE #2: SHARPENING AND OPERATIONALIZING THE DEFINITION

A common critique of the concept of informality is that it is difficult to define and measure. Early definitions of the informal sector evoked literal formlessness, focusing on economic activities that lacked bureaucratic sophistication and organizational rationality. Hart (1973, p. 68) argued that formal jobs were generally characterized by wage-earning, and informal ones by self-employment. The key distinguishing variable was their degree of rationalization in a Weberian sense—that is, the extent of hierarchical organization, regular recruitment and remuneration, and amenability to enumeration. The authors of the ILO Kenya Mission Report extended this definition by identifying seven traits associated with informal enterprises: “(a) ease of entry; (b) reliance on indigenous resources; (c) family ownership of enterprises; (d) small scale of operation; (e) labour-intensive and adapted technology; (f) skills acquired outside the formal school system; and (g) unregulated and competitive markets” (ILO, 1972, p. 6). Development economists soon operationalized these criteria in order to tackle a longstanding challenge: quantifying the contribution of unregistered employment to gross domestic product. To do so, they developed proxy variables thought to be associated with informality, such as firm size (i.e., number of employees), which could be measured through readily available labor force surveys (see Peattie, 1987, p. 855).

Critics chastised the Kenya Report for making an *a priori* assumption of a dual economy, in which informality was conceived of as all that was not formal (Gerry, 1974; Leys, 1973; Sethuraman, 1976). Others claimed that the report’s authors gave a scientific veneer to the tautological concept through a taxonomy that was based more on stereotypes than on empirical evidence (Bremner, 1976; Bromley, 1978; Peattie, 1980). Leys (1973) admonished the

report for focusing on superficial traits of enterprises, rather than holistically analyzing the economic, political and social systems that produced inequality. Papola (1980) contended that the variables in the ILO's definition were not tightly correlated to one another, much less to any underlying concept of "informality." Similarly, Bromley (1978) found that many enterprises possessed both "formal" and "informal" traits, but "no adequate guidelines existed" on how such enterprises should be classified (1034).

One of the most poignant critiques of the Kenya Report's conception of informality came in Peattie's (1980) study of low-income neighborhoods in Bogotá. Peattie analyzed street vending, an industry thought to epitomize informality, but which defied many of the Kenya Report's definitional criteria. Street vending was characterized by large-scale operation, elaborate supply chains, high barriers to entry, and multifaceted regulation involving constant negotiations between state officials, private sector actors, and street vendor associations. Peattie (1980) concluded that enterprises labeled "informal" were not so much characterized by a lack of formal structure, but by "a complexity and diversity of structure" (24). Economic planners often failed to recognize this structure, however, because it didn't conform to the bureaucratic patterns of large enterprises. Ultimately, Peattie (1980) saw this as a problem of the sociology of knowledge: "Why do we at the top of the system so recurrently see those who shine our shoes, repair our cars, and provide the substrata on which our prosperity rests, as a category of 'others' strongly separated from the world to which we belong" (29)?

3.1 | Regulatory approach to defining informality

Scholars began to reformulate the definition of informality in the late 1980s, a period in which employment in and scholarship on the urban informal sector were rapidly expanding. During this time, the epicenter of research shifted from Africa to Latin America, where two influential schools of thought on informality emerged. The Neoliberal or Legalist School cast informal workers as intrepid entrepreneurs who were forced to work informally to evade cumbersome government regulations (De Soto, 1989). The Marxist-inspired Structuralist School, in contrast, treated informal workers as subordinated laborers whose primary problem was exploitation (Portes et al., 1989). Despite their ideological opposition, both schools converged on a regulatory approach to defining informality. Portes et al. (1989) characterized informal work as producing legal goods and services, but lacking state regulation and protection. Over the next 15 years, development scholars and practitioners elaborated this definition by distinguishing between three derivative concepts (see Chen, 2012). First, the informal sector consisted of unregulated enterprises. Second, informal employment referred to jobs that—in law or practice—were not covered by labor protections, whether in the formal or informal sector. Third, the informal economy was the totality of unregulated enterprises, jobs, and other economic activities.

The regulatory definition of informality offered several advantages over that of the Kenya Report. First, by focusing on one variable rather than seven, it created ostensibly clearer lines of demarcation. As I describe below, in practice, such lines often become muddled, but they still provide a more parsimonious conceptual framework. Second, the sharper framework was more amenable to statistical measurement through national labor force and household surveys. New statistical definitions would focus on both enterprise characteristics (e.g., bookkeeping practices, number of employees) and the nature of employment (e.g., state registration, payment of employment tax; ILO, 2018). Third, the new definition centered on the recognition of workers' rights, a more substantive issue from the standpoint of worker empowerment than the level of bureaucratic sophistication. Fourth, the new framework included unprotected jobs within formal firms, shedding light on the decent work deficit within registered enterprises as well. Finally, the state-centered focus provided analytic leverage to theorize the role of the state in arbitrating relations between precarious workers and capital. As such, it inspired fruitful research on the politics of unregulated economic activity across social, geographic, and economic contexts. Nonetheless, the new definition did not solve all of the concept's underlying problems and created some new challenges.

4 | CHALLENGE #3: COUNTERING HOMOGENIZATION

Critics contend that catchall concepts like the “informal economy” risk homogenizing the diverse activities to which they refer (Bromley, 1978; Sethuraman, 1976; Sindzingre, 2006). This hazard is compounded by scholars' tendency to use the term as shorthand for a particular subset of informal workers: low income, self-employed, urban workers in the Global South. In reality, the informal economy encompasses a vast and multifarious set of activities. The ILO (2018, p. 3) estimates that 61% of the world's workers—some two billion people— toil in informal jobs.¹ This includes 90% of workers in developing countries, 68% in emerging countries, and 18% in developed countries. They work in most segments of the primary (extraction of raw materials), secondary (manufacturing), and tertiary (service) sectors; in rural and urban jobs; in formal and informal firms; and—according to some definitions—in licit and illicit trades and paid and unpaid activities. And, while the majority of people who work in the informal economy are poor, this is not universally true. Moreover, “informal work” is just one facet of the informal economy, which also may refer to enterprises, housing, loans, bribes, favors, and other forms of economic and political exchange.

Lumping such a wide range of activity into a single concept tempts scholars to overgeneralize based on whichever segment of the informal economy they study. According to WIEGO (2020a), debates among dominant schools of thought on informality, “have tended to generate more heat than light—in large part because each has focused on a ‘slice of the (informal economy) pie,’ not the whole pie.” Dualists focus on those engaged in traditional and survival activities; Structuralists on petty producers and sub-contracted workers; and Legalists on informal enterprises and entrepreneurs. To be sure, these schools represent fundamentally different approaches to social theory and policy, which would not be easily resolved even if scholars focused on the same “slice of pie.” Nonetheless, WIEGO correctly asserts that such debates would become more productive if scholars used more precise language about the scope and limitations of their research.

One approach to addressing the risk of overgeneralization is simply to make more grounded claims (e.g., not to generalize to the whole informal economy based on a single case study). Another is to use more precise language when generalizing. For example, Swider (2015), uses the phrase “precarious informal employment” in order to disambiguate concepts of precarity and informality. Also, some observers argue that while measuring the informal economy as a whole may help capture the attention of policy makers, disaggregating the informal economy is necessary to inform policy. In this spirit, several scholars have created typologies of informal activities, which shed light on patterns of heterogeneity and hierarchy within the informal economy (e.g., Cobb et al., 2009; Swider, 2015). One of the most compelling such typologies is WIEGO's “Holistic Framework” (Figure A1), which was developed through a review of five research studies spanning 20 developing and newly industrialized countries. WIEGO finds that a poverty risk hierarchy exists within the informal economy that bares striking resemblance across countries: informal industrial outworkers earn the lowest wages, followed by casual wage workers and domestic workers, own account workers, wage workers, and employers. Notably, men are overrepresented at the top of this economic totem pole, and women at the bottom.

Another approach to illuminating the heterogeneity of the informal economy is applying the lens of informality to previously overlooked workers. For example, many early conceptions of informality excluded the agricultural sector. Agarwala (2018) argues that this represented a political effort to elevate the stature of informal work by associating it with the “modern” urban sector rather than the “feudal” rural sector (p. 246). To rectify this omission, Agarwala and others have conducted comparative analyses of rural and urban informal workers. Another overlooked group are informal workers in the Global North, whom scholars typically describe as “precarious” or “irregular.” However, a growing body of literature analyzes informal trades in the Global North such as domestic work (e.g., Maich, 2020) and day labor (e.g., Purser, 2009), as well as processes of informalization of previously formal jobs through deregulation, subcontracting, outsourcing, and gigification (Chen, 2009). Indeed, Breman (2020) argues that under neoliberal capitalism, “informality has become the organizing principle of the globalized economy,” leading “the West” to grow more like “the rest” rather than the other way around (p. 33). Finally, some scholars analyze “the informality of the rich”—that is, ways in which the wealthy skirt state regulation

(Tonkiss, 2013). Thus far, most of this research has occurred within the field of urban planning (e.g., Roy, 2005), but Breman (2020) has called for increased analysis of the informal practices of employers as well. After all, he argues, it is illogical to apply informality to one factor of production—labor—while wholly overlooking the other—capital.

5 | CHALLENGE #4: OVERCOMING THE EITHER/OR FALLACY

Critics have long contended that the concept of informality poses a false dichotomy between the formal and informal economies (e.g., Breman, 1976; Bromley, 1978; Moser, 1984; Peattie, 1980). In reality, the two forms of activity are closely interwoven, and many enterprises exist in a gray area between the two ideal types. For example, Peattie (1980) argued that although sharp contrasts existed between the extremes of the system, the structure of Colombian labor regulation was gradational, not binary, with contracts offering varying levels of remuneration and protections. Roever (2005) found that street vendors in Lima, Peru were “informal” in the sense that they did not pay income taxes or comply with health and labor regulations, but many of their activities were governed by sporadically and selectively enforced regulations, leading them to engage in “a continuous process of negotiation over... partial formalization measures” (p. 172).

Scholars have attempted to recalibrate the binary concept to better fit the multifarious reality that it describes. By the early 2000s, many scholars had consciously adopted the term “informal economy” to call attention to the fact that informal work did not constitute a “sector” in the sense of a specific industry, but rather a broad set of activities occurring within both formal and informal firms. Also, some have offered refined definitions of informal workers that highlight the fact that they are, in fact, subjected to some forms of state regulation. Most notably, Agarwala (2018) defines informal workers as “those not regulated or protected by the standard employment relationship (SER) that defines formal workers” (30, see also Carré et al., 2014). Such definitions could be seen as tautological, however. Another approach used by many scholars is to speak of informality as a continuum, and to describe workers who fit between the two ideal types as “semi-formal.” Cobb et al. (2009) elaborate on this concept in their investigation of undocumented Mexican laborers in Portland, Oregon. The authors propose the following “spectrum of informality” to envisage the gray area between the two poles (Figure A2).

5.1 | Formal-informal linkages

Another way that scholars have challenged the dichotomy between the formal and informal economies is by researching the linkages between them. Such analysis was already underway by the mid-1970s, producing heated debates over the nature, extent, and desirability of formal-informal linkages (Cf. Gerry, 1974; ILO, 1972; Sethuraman, 1976; Tokman, 1978). The scale and sophistication of this research has increased since the 1990s. Meagher (2013) conducts an excellent review of 200 recent works on formal-informal linkages representing a range of disciplinary, theoretical, and methodological orientations. Her analysis traces how debates evolved from asking whether or not formal-informal linkages are beneficial, to asking beneficial ‘for whom’ and under what circumstances, and what are their impacts on the governance of the formal and informal economies?

One of the most important theoretical interventions in the analysis of formal-informal linkages came from the Structuralist School in the late 1980s (Portes et al., 1989; Portes & Schauffler, 1993). The Structuralists asserted that informal workers' vulnerability stems not from their lack of integration into the mainstream economy, but from their hyper-exploited positions within it. Portes and Schauffler (1993) contended that informal workers provided “a vast subsidy to formal capitalist enterprises” (p. 49), many of which sourced informal inputs or hired informal workers off the books. Also, informal workers provided cheap goods and services to formal workers, thereby increasing the yield of wages. More recent scholarship in this tradition has called attention to processes through which capitalists and state officials forcibly remove informal workers from their means of livelihood in order to

create new spheres of accumulation (Rosaldo, 2019; Samson, 2015; Tucker & Anantharaman, 2020)—an example of what Harvey (2003) terms “accumulation by dispossession.”

Whereas the Structuralists brought class analysis to the study of informal-formal linkages, subsequent scholars have highlighted how class hierarchies are shaped by other systems of oppression. For example, since the late 1990s, scholars have increasingly analyzed how gender shapes informal labor markets, a trend spearheaded by WIEGO (Chen, 2001; Chen et al., 2004; Sethuraman, 1998). Scholars have found that women are overrepresented in informal jobs, especially in low paying ones, due to job market discrimination, lack of access to education and capital, and cultural norms that assign women responsibility for social reproduction (Chen, 2001). Other scholars have analyzed how systemic discrimination on the basis of race (Mukhija & Loukaitou-Sideris, 2014), ethnicity (Ould Moctar & Hassan, 2018), and caste (Agarwala, 2013) perpetuate hierarchies between and within the formal and informal job markets. Finally, many studies have observed that migrants are more likely to work in informal jobs. Early studies of informality focused on rural-to-urban migrants in the Global South, who turned to informal work due to the lack of available formal jobs (Hart [1971], 1973) and legal barriers to formalization (De Soto, 1989). Later studies have shifted attention to international migrants, analyzing the legal, linguistic, and social barriers that constrain their access to the formal job market (Mukhija & Loukaitou-Sideris, 2014).

6 | CHALLENGE #5: PROBLEMATIZING “FORMALIZATION”

While definitions of “formalization” vary across economic and political contexts, generally they refer to efforts to align economic practices and the laws that govern them through decriminalization, regulation, registration, taxation, or extension of social protections (Tucker & Anantharaman, 2020). In some cases, such legal shifts are also accompanied by financial, spatial, and technological reorganizations of worksites and industries. Over the past 40 years, myriad development scholars and practitioners have debated the meaning of and path to formalization,² but relatively few have questioned its desirability. Indeed, as discussed above, the moral imperative to vanquish “informality” is woven into the term's very etymology. The rallying cry to “formalize the informal” has only intensified in recent years. In 2015, the International Labour Conference (ILC) adopted a “Recommendation Concerning the Transition from the Informal to the Formal Economy.” Also, that year, the United Nations' landmark Sustainable Development Goals included a call to formalize informal jobs and enterprises.

Nonetheless, a small, but growing contingent of scholars have begun challenging the fetishization of formalization. Most notably, Martha Chen (2009), WIEGO's Founding Director, writes:

“It is important to consider that informality may not be the problem, and that formalization may not be the answer... Many of the existing formal economic institutions are now obsolete, modelled in the mid-twentieth century on mass production, large factories, firms and so-called “modern” jobs in industrialized countries.... Imposing the existing narrow set of formal economic institutions on the large diverse set of informal economic activities may be neither desirable nor feasible” (215)”

This provocation by one of the world's foremost champions of informal worker rights defies deep-seated beliefs of her field, but is supported by recent scholarship. Although formal jobs on average provide superior incomes and conditions than do informal ones, this is far from universally true (Tucker & Anantharaman, 2020). Consequently, many workers either combine formal and informal income opportunities, or choose the latter over the former (Hunt, 2009; Purser, 2009). For example, anthropologist Kathleen Millar (2018) finds that dumpsite waste pickers in Rio de Janeiro prefer work in the dump over formal employment. The dump offers them greater control over when, where, and how they work, facilitating their quests for survival and dignity. Such findings should not lead us to romanticize waste picking, but rather to become more critical of low-income formal jobs. Millar argues that scholars in both the liberal and leftist traditions have long upheld waged employment as a source of values and

emancipatory projects. But as the growing ranks of the “working homeless” in the United States can attest, low-income formal jobs hardly represent a reliable pathway out of poverty (Desmond, 2018).

This is not to negate the potential benefits of formalization. For informal employees, formalization may mean recognition of basic labor rights such as a minimum income, freedom from discrimination, occupational safety measures, inclusion in social protection policies, and the right to collectively organize and bargain (Chen, 2012, p. 15). Nonetheless, formalization also entails risks. Some employers of informal workers are not capable of offering legal benefits and protections to workers at their current levels of operation, leading to a tension between the objectives of job creation and job improvement (ILO, 1991). Other employers may respond to formalization processes by relocating production to sites with weaker labor regulations (Anner, 2019).

Similarly, for self-employed informal workers, formalization presents both opportunities and risks. Benefits may include gaining access to secure worksites, government subsidies and incentives, public infrastructure and services, enforceable commercial contracts, and social protections. However, unless efforts are made to reduce the expense of registration, regulation, and taxation, the costs of formalization are likely to outweigh the benefits (De Soto, 1989). For informal workers who ply their trades on the streets, formalization schemes often involve relocation. Street vendors may be relocated to shopping malls, waste pickers may be offered jobs in recycling processing plants, and day laborers may be moved to hiring halls. In best-case scenarios, such schemes may improve the livelihoods of participants, but rarely include the totality of existing workers. Indeed, sometimes state officials offer formalization schemes to a minority of workers in order to justify violent crackdowns on the majority who continue to work on the street (Hunt, 2009; Varsanyi, 2008). In many cases, even workers who are included in formalization schemes experience perverse outcomes. State officials may not follow through on promised support (Rosaldo 2016), new worksites may prove commercially unviable (Hunt, 2009), and new schedules and rules may clash with informal workers' needs and capacities (Millar, 2018).

To reduce such risks, some scholars have proposed guiding principles for formalization processes (Chen, 2012; WIEGO, 2020b; WIEGO Network Platform, 2014). Recurring themes in these works are that policy interventions should be multi-faceted (promoting a broad array of strategies), progressive (treating formalization as an ongoing, iterative process), context-specific (catered to local needs and capacities), and—most importantly—co-created with informal workers themselves (abiding by the maxim, “nothing for us, without us”). These guiding principles represent an effort to resignify “formalization” from its state-centric, legalistic, and deficit-based origins, to a meaning that privileges the capacities, needs, and desires of informal workers themselves. Other authors have proposed decentering the framing of “formalization” altogether. For example, Tucker and Anantharaman (2020) propose shifting to an ethic and practice of “reparations,” which acknowledges legacies of injustice, redistributes resources and power to workers and grassroots movements, promotes supportive regulatory environments, and buttresses urban commons built by informal workers. Meanwhile, Agarwala (2013, 2016) highlights cases of Indian informal workers who fight to improve their livelihood conditions without formalizing employment relations by appealing to the state for welfare benefits, citizenship rights, and support for cooperative enterprises.

7 | THE PATH FORWARD: MOVING BEYOND INFORMALITY?

From 2005 to 2010, Keith Hart authored a series of essays on the political history and contradictions of the concept of the “informal sector,” a term he had coined 35 years earlier. His critiques echoed those of many of the authors discussed in this article. He bemoaned misunderstandings generated by the concept's negative definition, which specified “what activities are not, but not what they are.” Such language led scholars to overgeneralize, “lump [ing] everything together in a catchall phrase that allowed bureaucrats to claim they understand what they never could” (Hart, 2009, p. 6). Hart (2005) cautioned that the in/formal binary posed an either/or fallacy, leading scholars to “mistake the category for the reality it identifies” (10). He also questioned the call to formalize the informal economy, which he suggested served the Bretton Woods institutions' project of “shoring up a new international

bureaucratic order suitable for private sector development" (Hart, 2009, p. 20), but imperiled poor people's strategies for self-preservation and improvement (Hart, 2006). Such misgivings notwithstanding, Hart reaffirmed the practical value of his concept, which had drawn scholarly, philanthropic, and political attention to activities that were previously invisible to the bureaucratic gaze. He noted that the concept had been used to justify important research and to advocate for women's rights and workers' rights, especially within international bureaucracies. Hart (2009) thus mused, "while it panders to my vanity to claim a superior attitude towards something I helped to make, why should I kill off the goose that laid the golden eggs" (6)?

Hart's comment reflects the central contradiction that motivates this article: the concept of informality has been mobilized to elevate the visibility and standing of millions of vulnerable workers, but it also risks oversimplifying and re-stigmatizing them. With a few notable exceptions (Millar, 2018; Peattie, 1987; Salas, 2006), most of the authors discussed in this article did not seek "to kill off the goose," but rather to rescue it through a series of clarifications and qualifications. They countered the stereotypes of informal workers as marginal outcasts by highlighting their economic contributions and political agency. They sharpened the concept's fuzzy definition by shifting its focal point from bureaucratic sophistication to legal regulation. They pushed back against its homogenizing tendency by tempering claims of generalizability and creating typologies that illuminate heterogeneity within the informal economy. They challenged the either/or fallacy by uncovering linkages between the formal and informal economies, as well as the continuum of activities that exist between the two ideal types. And they recast "formalization" from a top-down, legalistic, and deficit-based process to one that privileges the collective capacities, needs, and desires of informal workers themselves.

These reformulations have preserved the concept's analytic potency and political relevance. Their success is a testament both to the ingenuity of the scholars who proposed them and to the fungibility of language, but they have come at a cost. The progressive divergence between informality's etymological meaning (lack of form), original definition (lack of bureaucratic sophistication), current definition (lack of regulation), and common usage (low-income, self-employed, urban workers in the Global South) generates confusion. Many scholars and practitioners use outdated definitions of informality, revive debunked assumptions, and rehash debates that were settled decades ago. Moreover, there is an opportunity cost to continuing to build up discourses, literatures, and institutions around a concept with so much unwanted baggage.

Is it finally time then to heed Peattie's (1987) call to abandon the concept of informality and "get on to something more interesting" (p. 858)? The literature reviewed here suggests not yet. Despite its shortcomings, the concept continues to facilitate valuable advances in the realms of labor rights research, policy, and organizing—all of which historically have overlooked the role of unregistered and self-organized work. Informality will likely continue to serve as a useful "second-best concept" as long as mainstream labor regulations, scholarship, and trade unions embrace the notion that labor markets are exclusively comprised of registered employment. In the longer term, however, a true testament to the concept's value will be if it outlives its own utility; that is, if it draws enough recognition and resources to the invisibilized majority of the world's workers that we no longer feel the need to lump them under a misleading catchall label. Perhaps the work currently performed by the overburdened concept will be divvied out to a number of more precise ones that are already in circulation (e.g., unregulated, small scale, own account, low income, precarious), or perhaps new concepts will be created. Such advances are likely to be spearheaded by workers currently labeled "informal" themselves, who have built robust organizations and movements over the past 40 years, which are capable of articulating their own concepts and analyses.

ACKNOWLEDGMENTS

I thank my brilliant Graduate Research Assistant, Ana Gaviria Naranjo, who summarized many texts discussed in this article. I am grateful to Carter Copleman, Pablo Gaston, Katy Fox-Hodess for helpful feedback on a previous draft. And a heartfelt thanks to Chris Tilly and Peter Evans, my coauthors on a preparatory document for a 2012 conference on informal worker organizing that helped inspire this article.

ORCID

Manuel Rosaldo  <https://orcid.org/0000-0003-2269-5547>

ENDNOTES

- ¹ The same groundbreaking study finds that 44% of the world's workers are self-employed, which also challenges mainstream notions of labor markets consisting largely of registered employees (ILO, 2018).
- ² For a summary of these debates, see Chen (2012). For a compelling reframing of them, see Lee et al. (2020).

REFERENCES

- Agarwala, R. (2013). *Informal labor, formal politics, and dignified discontent in India*. Cambridge University Press.
- Agarwala, R. (2016). Redefining exploitation: Self-employed workers' movements in India's garments and trash collection industries. *International Labor and Working-Class History*, 89, 107–130.
- Agarwala, R. (2018). The development of labor under contemporary capitalism. *Sociology of Development*, 4(3), 239–260.
- Anner, M. (2019). Addressing workers' rights violations in apparel and agricultural supply chains through binding, cost-sharing accords. *Agrarian South: Journal of Political Economy*, 8(1–2), 93–114.
- Breman, J. (1976). A dualistic labour system? A critique of the 'informal sector' concept: II: A fragmented labour market. *Economic and Political Weekly*, 11(49), 1905–1908.
- Bromley, R. (1978). Introduction - the urban informal sector: Why is it worth discussing? *World Development*, 6(9–10), 1033–1039.
- Breman, J. (2020). Informality: The bane of the labouring poor under globalised capitalism. In M. Chen & F. Carré (Eds.), *The informal economy revisited*. Routledge.
- Carré, F., Tilly, C., & Bonner, C. (2014). International informal worker organizations: Transforming the world of unprotected work. *Perspectives on Work*, 18(1), 18–105.
- Chen, M., & Carré, F. (Eds.). (2020). *The informal economy revisited: Examining the past, envisioning the future* (1st ed.). Routledge.
- Chen, M. A. (2001). Women in the informal sector: A global picture, the global movement. *SAIS Review*, 21(1), 71–82.
- Chen, M. A. (2009). Informalization of labour markets: Is formalization the answer? *The gendered impacts of liberalization* (pp. 207–234). Routledge.
- Chen, M. A. (2012). The informal economy: Definitions, theories and policies. *WIEGO Working Paper*. 1.
- Chen, M. A., Vanek, J., & Carr, M. (2004). *Mainstreaming informal employment and gender in poverty reduction: A handbook for policy-makers and other stakeholders*. Commonwealth secretariat.
- Cobb, C. L., King, M. C., & Rodriguez, L. (2009). Betwixt and between: The spectrum of formality revealed in the labor market experiences of Mexican migrant workers in the United States. *Review of Radical Political Economics*, 41(3), 365–371.
- De Soto, H. (1989). *The other path: The invisible revolution in the third world*. Harper and Row.
- Desmond, M. (2018). *Americans want to believe jobs are the solution to poverty. They're Not*. New York Times.
- Fourie, P. J. (2001). *Media studies: Content, audiences and production*. Lansdowne: Juta Education. 2.
- Gerry, C. (1974). *Petty producers and the urban economy: A case study of dakar*. International Labour Office.
- Goody, J. & Goody, J. R. (1977). *The domestication of the savage mind*. Cambridge University Press.
- Hart, K. (2005). *Formal bureaucracy and the emergent forms of the informal economy*. WIDER Research Paper.
- Hart, K. (2006). Bureaucratic form and the informal economy. In B. Guha-Khasnobis, R. Kanbur, & E. Ostrom (Eds.), *Linking the formal and informal economy: Concepts and policies*. Oxford University Press.
- Hart, K. (2009). On the informal economy: The political history of an ethnographic concept. *CEB Working Papers*, 9(42), 1–22.
- Hart, K. [1971] (1973). Informal income opportunities and urban employment in Ghana. *The Journal of Modern African Studies*, 11(1), 61–89.
- Harvey, D. (2003). *The new imperialism*. Oxford University Press.
- Hummel, C. (2017). Disobedient markets: Street vendors, enforcement, and state intervention in collective action. *Comparative Political Studies*, 50(11), 1524–1555.
- Hunt, S. (2009). Citizenship's place: The state's creation of public space and street vendors' culture of informality in Bogota, Colombia. *Environment and Planning D: Society and Space*, 27(2), 331–351.
- ILO. (1972). *Employment, incomes and equality: A strategy for increasing productive employment in Kenya*. International Labour Office.
- ILO. (1991). The dilemma of the informal sector: Report of the director general. *International labour conference 78th session*. International Labour Office.

- ILO. (2018). *Women and men in the informal economy: A statistical picture* (3rd ed.). International Labour Office.
- Lee, B.-H., Swider, S., & Tilly, C. (2020). Informality in action: A relational look at informal work. *International Journal of Comparative Sociology*, 61(2–3), 91–100.
- Lewis, W. A. (1954). *Economic development with unlimited supplies of labour*.
- Ley, C. (1973). Interpreting african Underdevelopment: Reflections on the ILO report on employment, incomes and equality in Kenya. *African Affairs*, 72(289), 419–429.
- Maich, K. (2020). Of home and whom: Embeddedness of law in the regulation of difference. In B. Eidlin & M. A. McCarthy (Eds.), *Rethinking class and social difference. Political power and social theory*. Emerald Publishing Limited. 37, 185–214.
- Marx, K., & Norman Bethune Institute. (1977). *The eighteenth brumaire of louis bonaparte*. Progress Publishers.
- Mazumdar, D. (1976). The urban informal sector. *World Development*, 4(8), 655–679.
- Meagher, K. (2013). Unlocking the informal economy: A literature review on linkages between formal and informal economies in developing countries. *WIEGO Working Paper*. 27.
- Millar, K. M. (2018). *Reclaiming the discarded: Life and labor on Rio's garbage dump*. Duke University Press.
- Moser, C. (1984). The informal sector reworked: Viability and vulnerability in urban development. *Regional Development Dialogue*, 5(2), 135–183.
- Mukhija, V., & Loukaitou-Sideris, A. (Eds.). (2014). *The informal American city: Beyond taco trucks and day labor*. MIT Press.
- Ould Mactar, & Hassan. (2018). Urban informality and the boundaries of belonging: Notes on ethnicity, nationality and class in nouakchott, Mauritania. *Movements*, 4(2).
- Papola, T. S. (1980). Informal sector: Concept and policy. *Economic and Political Weekly*, 15(18), 817–824.
- Peattie, L. (1980). Anthropological perspectives on the concepts of dualism, the informal sector, and marginality in developing urban economies. *International Regional Science Review*, 5(1), 1–31.
- Peattie, L. (1987). An idea in good currency and how it grew: The informal sector. *World Development*, 15(7), 851–860.
- Portes, A., & Schauffler, R. (1993). Competing perspectives on the Latin American informal sector. *Population and Development Review*, 19, 33–60.
- Portes, A., Castells, M., & Benton, L. A. (Eds.). (1989). *The informal economy: Studies in advanced and less developed countries*. Johns Hopkins University Press.
- Pratt, A. (2019). Formality as exception. *Urban Studies*, 56(3), 612–615.
- Purser, G. (2009). The dignity of job-seeking men: Boundary work among immigrant day laborers. *Journal of Contemporary Ethnography*, 38(1), 117–139.
- Roever, S. (2005). *Negotiating formality: Informal sector, market, and state in Peru*. PhD diss. University of California.
- Rosaldo, M. (2016). Revolution in the garbage dump: The political and economic foundations of the Colombian recycler movement, 1986–2011. *Social Problems*, 63(3), 351–372.
- Rosaldo, M. (2019). The antinomies of successful mobilization: Colombian recyclers manoeuvre between dispossession and exploitation. *Development and Change*, 1–28.
- Roy, A. (2005). Urban informality: Toward an epistemology of planning. *Journal of the American Planning Association*, 71(2), 147–158.
- Salas, C. (2006). El sector informal: Auxilio u obstáculo para el conocimiento de La realidad social en América Latina. In *Teorías sociales y estudios del trabajo: Nuevos enfoques*. Anthropos Editorial. pp. 192–223.
- Samson, M. (2015). Accumulation by dispossession and the informal economy—struggles over knowledge, being and waste at a soweto garbage dump. *Environment and Planning D: Society and Space*, 33(5), 813–830.
- Sethuraman, S. V. (1998). *Gender, informality and poverty: A global review*. The World Bank.
- Sethuraman, S. V. (1976). The urban informal sector: Concept, measurement and policy. *International Labour Review*, 114(1), 69–81.
- Sindzingre, A. (2006). The relevance of the concepts of formality and informality: A theoretical appraisal. In B. Guha-Khasnobis, R. Kanbur, & E. Ostrom (Eds.), 1–26 in *linking the formal and informal economy: Concepts and policies*. Oxford University Press.
- Steenberg, R. (2016). The art of not seeing like a state. On the ideology of 'informality'. *Journal of Contemporary Central and Eastern Europe*, 24(3), 293–306.
- Swider, S. (2015). Building China: Precarious employment among migrant construction workers. *Work, Employment & Society*, 29(1), 41–59.
- Tokman, V. E. (1978). An exploration into the nature of informal—formal sector relationships. *World Development*, 6(9–10), 1065–1075.
- Tonkiss, F. (2013). *Cities by design: The social life of urban form*. Polity Press.
- Tucker, J. L., & Anantharaman, M. (2020). Informal work and sustainable cities: From formalization to reparation. *One Earth*, 3(3), 290–299.
- Varsanyi, M. W. (2008). Immigration policing through the backdoor: City ordinances, the 'right to the city,' and the exclusion of undocumented day laborers. *Urban Geography*, 29(1), 29–52.

WIEGO. (2020a). *History & Debates*. Wiego.Org. December 4 2020a. <https://www.wiego.org/informal-economy/history-debates>

WIEGO. (2020b). *Rethinking Formalization*. Wiego.Org. December 18 2020b. <https://www.wiego.org/rethinking-formalization>

WIEGO Network Platform. (2014). *Transitioning from the informal to the formal economy in the interests of workers in the informal economy*. Wiego. 18 December 2020. <http://wiego.org/sites/wiego.org/files/resources/files/WIEGO-PlatformILO-2014.pdf>

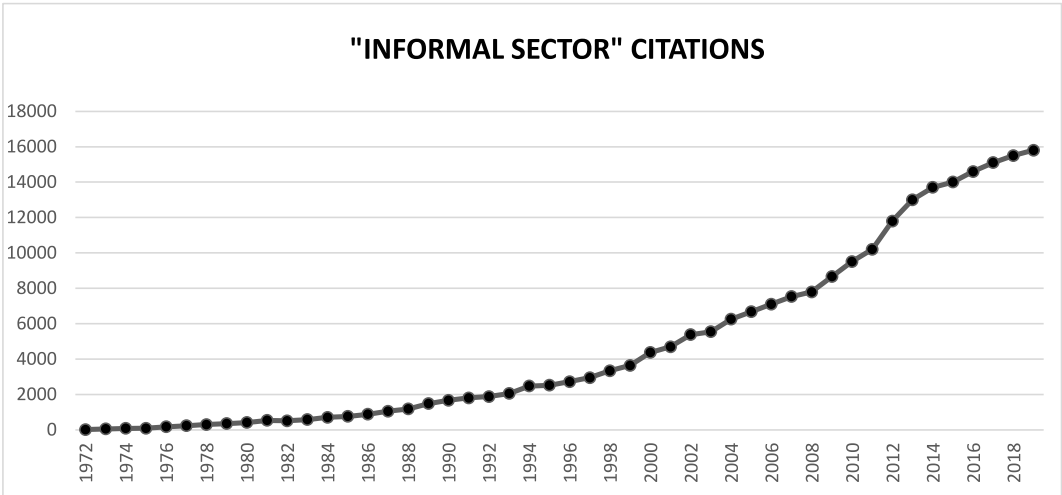
AUTHOR BIOGRAPHY

Manuel Rosaldo is an Assistant Professor of Labor and Employment Relations and Sociology at the Pennsylvania State University. His research focuses on the potentials and constraints of labor rights organizing among precarious informal workers. He is currently working on a book analyzing waste pickers' struggles to win state recognition and remuneration for their labor, based on 22 months of ethnographic research in Brazil and Colombia. He holds a Master's in Global Affairs from New York University and an MA and PhD from the University of California at Berkeley. He previously worked as a labor union and community organizer.

How to cite this article: Rosaldo, M. (2021). Problematising the “informal sector”: 50 years of critique, clarification, qualification, and more critique. *Sociology Compass*, e12914. <https://doi.org/10.1111/soc4.12914>

APPENDIX

TABLE A1 Google scholar citations for “informal sector”



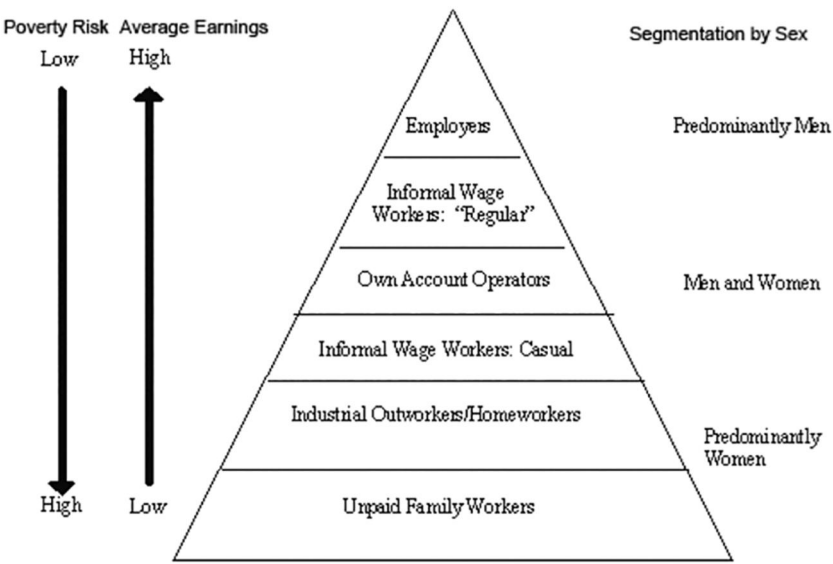


FIGURE A1 WIEGO's "Holistic Framework". Source: reproduced with author's permission from Chen (2012), nine

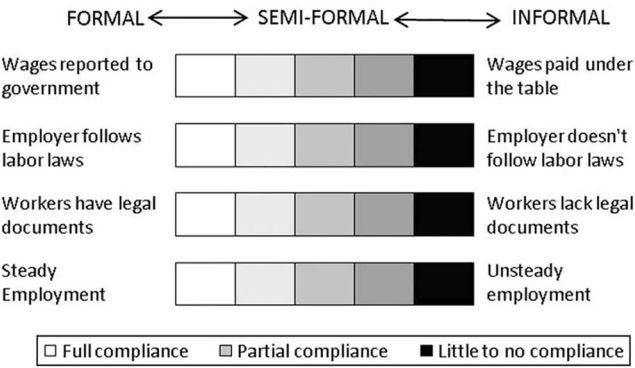


FIGURE A2 Cobb, King, and Rodriguez's "Spectrum of Informality". Source: reproduced with authors' permission from Cobb et al. (2009), p. 367